



Search



Practicum 1: Bank Closure, Kan...

[Submit Prediction](#)[Overview](#) [Data](#) [Code](#) [Models](#) [Discussion](#) [Leaderboard](#) [Rules](#)

Description



Each quarter a troubled bank is continued or closed. Closing is terminal. With Type-1 extreme value shocks of scale σ and discount factor β , the Hotz–Miller inversion plus the terminal action give a single estimating equation with only one period ahead in it:

$$\sigma \log \frac{p_0(x)}{p_1(x)} = c(x) + \beta \mathbb{E}[-\sigma \ln p_1(x') - c(x') \mid x, \text{continue}]$$

where total closure cost splits into a monetary and a non-monetary part:

$$c(x) = MC(x) - \tilde{x}'\theta$$

You recover σ and θ . The specification $\tilde{x}$ is given to you for every dataset — this is not a specification-guessing contest.

Sign convention. We report θ in the coded convention $c = MC - \tilde{x}'\theta$, which is the negative of the published Table 7 non-monetary-cost entries. β and σ are not flipped. Submit in the coded convention.

Evaluation



Submissions are scored item by item. For each requested parameter, cost component, or counterfactual outcome, the prediction error is calculated relative to the corresponding true value.

The overall score is the mean prediction error across all scored items. Lower scores are better.

Your submission should report the estimated structural parameters, the three components of the cost of moral hazard, and the requested counterfactual results. All submitted quantities contribute to the final score.

Top teams will be re-scored on fresh seeds and may be asked to defend their specification.